NOTE 9

Principal and interest were defaulted on Chicago & Eastern Illinois R.R. Co., First Consolidated 6s, due Oct. 1, 1934, in 1934 and 1935, respectively. The plan of reorganization consummated in 1940 provided for their payment in cash at par and interest at 4% to date of payment.

Price Bros. Co., Ltd., First Mortgage 6s due 1943 were defaulted as to interest in 1932. In 1937 the holders received par and accrued interest to the date of payment.

Other examples are given on p. 638 of the 1934 edition of this work.

NOTE 10

The Missouri, Kansas & Texas Ry. Company went into the hands of receivers in 1915. Prior thereto the First 4s of 1990 had sold as high as 104 1/4 in 1905 and as late as 1914 had sold at 91 7/8. Before the financial difficulties leading to the 1915 receivership, the record of this issue was distinctly that of a high-grade, investment bond. During the eleven years 1903 to 1912, inclusive, the lowest price at which it sold was 98 1/2 (in the panic year 1907).

During the protracted receivership interest payments were deferred and the bonds were traded "flat" in the market. Although technical default was avoided, the investment status of the issue disappeared, the bonds selling as low as 52 1/8 during the receivership. In 1921 when the plan of reorganization was announced, the bonds sold as low as 56, and it was not until 1927 that they regained a semblance of their former prestige as an investment issue by selling above 90. Thus the first lien did not protect the holder from a substantial market decline during the period of financial difficulty.

The same sort of picture is presented by the record of Brooklyn Union Elevated R.R. First 5s, due in 1950, described in Chap. 2 of the text. This was an underlying lien on essential parts of the elevated lines of the Brooklyn Rapid Transit Co. which went into the hands of receivers on Dec. 31, 1918 and was reorganized as the Brooklyn-Manhattan Transit Corp. in 1923. The issue ranked as a first-grade investment from 1903 to 1917 and never sold below 90 during this period, except in the panic of 1907 when it dropped to 85, and in 1917 when the receivership appeared imminent. Although the issue was not disturbed by the reorganization, it sold as low as 55 in 1920, while the receivership was still in effect, and did not regain its former standing until 1926, three years after the termination of the receivership.

Choctaw & Memphis R.R. First Mortgage 5s, due 1949, defaulted as to interest on July 1, 1934. In 1938 and 1939 the low bids were 21 and 32, respectively.